

KABC010270882023



**IN THE COURT OF THE I ADDL. CITY CIVIL &
SESSIONS JUDGE (CCH-02) AT BENGALURU**

Present : **Sri. B.P. DEVAMANE, LL.M.,**
I Addl. City Civil & Sessions Judge,
Bengaluru City.

Dated this the 17th day of October 2025

Ex. No.2614 / 2023

DECREE HOLDER : **M/s. Margadarshi Chits (K) Pvt. Ltd.,**
BTM layout Branch, # 10,
1st Floor, Uma Krishna Arcade,
Opp. Metro Pillar,
100 feet Ring Road,
BTM layout 2nd Stage,
BENGALURU – 560 076.

(By **Sri. P.P. Jayakumar, Adv.)**

- VS -

JUDGMENT DEBTORS : 1. **Mr. M. Manju,**
S/o Munirappa,
Aged about 41 years,
R/o No.200/182/D, 3rd Cross,
Near Fab Ice cream,
Thannamma layout,
D.C. Halli Main Road,
Bilekahalli,
BENGALURU – 560 076.

2. K. Ramu,
S/o Kannan,
Aged about 43 years,
R/o # 48, 2nd Cross,
Rajanna layout, B.G. Road,
Bilekahalli,
BENGALURU – 560 076.
3. Smt. T. Nagashree,
W/o M. Manju,
Aged about 39 years,
R/o No.200/182/D, 3rd Cross,
Near Fab Ice cream,
Thannamma layout,
D.C. Halli Main Road,
Bilekahalli,
BENGALURU – 560 076.
4. M. Anand,
S/o Munirappa,
Aged about 38 years,
R/o E/225, Thayappa Garden,
Bannerughatta Road,
Bilekahalli,
BENGALURU – 560 076.
5. Munirappa,
S/o Anjanappa,
Aged about 61 years,
R/o # 33/4, 6th Cross,
Someshwara Temple Street,
Near Veerabhadraswamy bus stop,
Bannerughatta Road,
Bilekahalli,
BENGALURU – 560 076.
6. K. Shivaraj,
S/o Kempe Gowda,
Aged about 54 years,
R/o # 31, 1st Main,
Near Shani Temple,
Behind 43A bus stop,
Kattariguppe Main Road,

BSK 3rd Stage,
BENGALURU – 560 085.

7. C. Muniyappa,
S/o Chinnatambi,
Aged about 52 years,
R/o # 89/3/A, 3rd 'A' Cross,
Thammanna layout,
D.C. Halli Main Road,
BENGALURU – 560 056.

(JDR 1 by Sri. B.P.M., Adv.,
JDR 2 & 3 Absent.)

OBJECTOR : SRI. N. Ananda,
S/o M. Nagaraj,
Aged about 38 years,
R/at 104/13, D.C. Halli Main Road,
Near Srinivasa Kalyana Mantapa,
Bilekahalli,
BENGALURU – 560 076.

(By Sri. K.S. Manjunath, Adv.)

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ORDER ON I.A. No.7

Advocate for obstructor filed this IA under Order 1 Rule 10(2) of CPC with prayer to permit the objector to bring the proposed respondent The Chief Manager, Union Bank of India, Dommalur Branch, Bengaluru, on record as their presence is just & necessary for disposal of the petition in whose presence case can be settled and parties rights will be determined effectively.

2. In the affidavit supporting the IA, it is contended that 16.07.2025 this Court has put the suit schedule property for Court sale (auction sale) which was deferred at the instance of JDR No.1 on the pretext that matter would be settled. But, the matter was not

settled. The last bid was at Rs.1,90,00,000/- by this Objector. Now he is facing technical difficulties as the original documents of schedule property were deposited with Union Bank of India, Dommaluru Branch, Bengaluru, i.e., proposed respondent, wherein JDR No.1 and others have hypothecated entire documents while availing OD facilities in the name of M/s. V.M. Technologies and term loan in the name of M/s. V.M. Technologies and housing loan relating to schedule property under sale. Under these circumstances, unless Union Bank of India is made as party to the proceedings, this Court cannot issue process to the said Bank to deposit original records pertaining to schedule property. This applicant / objector being the highest bidder for Rs.1,90,00,000/- cannot purchase the schedule property unless getting the original records / title deeds of the property which are with the Union Bank of India. As such, it is necessary & expedient to implead Union Bank of India as party to the petition. Hence, prayed to allow the IA.

3. Advocate for the JDR No.1 filed objections contending that within the meaning of Order 21 Rule 58 CPC the applicant cannot be considered as objector as law does not provide a bidder to file application under Order 1 Rule 10(2) CPC to implead third party to the proceedings. The proposed respondent Bank does not have any direct interest in the subject matter of the *//s*.

4. Advocate for the JDR No.1 filed additional objections to the IA quoting some judgments of Hon'ble High Courts and The Hon'ble Apex Court and contended that the objector who has filed this IA is neither a party nor objector within the meaning of law. He cannot be considered as an objector under Order 21 Rule 58 CPC. It is well settled that the party proposed to be impleaded must have direct interest in the subject matter of the *//s*. But, in the present

case, the proposed respondent Bank is not having direct nexus with lis between DHR & JDRs. As such, the proposed respondent Bank is not necessary party to the proceedings. Hence, prayed to reject the IA.

5. After filing of this IA, notice was issued to the proposed respondent Bank, who appeared through counsel and filed objections to the IA contending that this Bank is a secured creditor. JDR No.1 hypothecated entire documents with this Bank with respect to schedule property while availing OD facilities and term loan in the name of M/s. V.M. Technologies and housing loan relating to schedule property. JDR Nos.1 & 3 are joint borrowers / guarantors and they had requested sanction of credit facility against mortgage of the schedule property. The proposed respondent Bank sanctioned housing loan of Rs.70.00 lakh on 25.08.2012, gold loan of Rs.3,65,000/-, CVPOD loan of Rs.30.00 lakh on 31.08.2019 and WCTLE loan of Rs.54.00 lakh on 31.08.2019. JDR Nos.1 & 3 have created mortgage by way of deposit of title deeds on 26.07.2016. Later, registered as memorandum of deposit of title deeds on 24.07.2019. The proposed respondent Bank is having first & valid charge over the schedule property. The mortgage is still subsisting & outstanding due as on date is Rs.56.00 lakh. JDR Nos.1 & 3 have 3 loan accounts out of which running due is Rs.54,07,404/-. JDRs are defaulters and liable to repay entire outstanding amount. Original title deeds of schedule property are with the proposed respondent Bank for enforcing its security rights under SARFAESI Act. The objector claiming as highest bidder and wants registration in his name. However, until dues of the Bank are cleared and mortgage is discharged, he is having no right to seek registration. Under the provisions of Order 21 CPC the provisions of Order 1 Rule

10(2) CPC does not applicable. Hence, this IA is not maintainable and it is liable to be rejected.

6. Heard the arguments. Perused the entire material on record.

7. Now the points that arise for my consideration are:

1. Whether I.A. No.7 filed by the applicant / objector under Order 1 Rule 10(2) of CPC deserves to be allowed ?
2. What order ?

8. My answer to the above points are as under:

POINT No.1 : In the **Affirmative**

POINT No.2 : As per the final order,
for the following : -

REASONS

9. **POINT NO.1** : DHR filed this petition for recovery of Rs.23,27,977/-. When other modes of recovery failed, DHR proceeded against schedule property of JDR Nos.1 & 3 i.e., vacant property bearing House List No.200, BBMP Sl. No.343, property No.200/182/D, situated at Rajanna layout, Someshwara Nagara, Bilekahalli Village, Beguru Hobli, Bengaluru South Taluk, measuring east-west 40 feet & north-south 60 feet, totally measuring 2,400 sq. ft. By following due procedure, the Court has put the said property on auction and this objector being the successful bidder for Rs.1,90,00,000/- has deposited 25% of bid amount in the Court. Under these circumstances, the bidder / objector came to know that the schedule property is already mortgaged by JDR Nos.1 & 3 to proposed respondent Bank and said Bank is having mortgage of the schedule property and mortgage is registered. As such, even if the objector /

bidder has purchased the property, there could be mortgage of the proposed respondent Bank and the Bank may proceed anytime under SARFAESI Act, which would cause further complications. To avoid all such complications, advocate for objector has filed this IA.

10. Notice of this IA was issued to the proposed respondent Bank, who appeared through their Advocate and filed objections contending that JDR No.1 hypothecated all original title deeds with respect to schedule property in favour of the Bank and raised 3 loans i.e., housing loan of Rs.70.00 lakh, gold loan of Rs.3,65,000/-, CVPOD loan of Rs.30.00 lakh and WCTLE loan of Rs.54.00 lakh. JDR Nos.1 & 3 created mortgage by way of deposit of title deeds. The mortgage still subsists and outstanding due as on the date is Rs.56.00 lakh. The original title deeds of the schedule property are mortgaged with the proposed respondent Bank and the Bank has created registered mortgage.

11. The learned counsel appearing for objector has argued that objector has already paid substantial amount towards repayment of loan raised by JDR No.1. Now, objector has become successful bidder and to get the property registered in his name, there are technical hurdles as the original title deeds of the suit property are with proposed respondent Bank. If the proposed respondent Bank get the mortgage cleared / closed, the objector is ready to pay the outstanding loan of Rs.56.00 lakh which is liable to be paid by JDR Nos.1 & 3. Once the original documents are deposited in the Court after foreclosing the mortgage, the objector can get the property validly registered in his name. Hence, it is necessary to allow the IA.

12. Both the advocates appearing for JDR Nos.1 & 3 and proposed respondent Bank argued that technically, this IA cannot be

allowed since there is no provision for impleading the party during execution proceedings as in the Original Suit. Hence, prayed to reject the IA.

13. On going through the objections filed by the proposed respondent Bank, it is admitted that schedule property is mortgaged with the Bank for raising huge loan by JDR Nos.1 & 3 out of which still there is due of Rs.56.00 lakh. Until said dues are cleared by JDR Nos.1 & 3, the proposed respondent Bank cannot return original title deeds of the schedule property by canceling the registered mortgage. If the original title deeds are not returned and mortgage of the suit property is not closed, this Court cannot execute sale deed in favour of highest bidder i.e., objector, who is ready to pay the outstanding amount to the Bank subject to deposit of title deeds in the Court and foreclosure of mortgage. Thus, the proposed respondent Bank is having interest in the schedule property and if this IA is allowed and the Bank is impleaded as party to the proceedings, it will solve all the problems and highest bidder i.e., objector can purchase the schedule property effectively. Otherwise, in spite of depositing huge amount in the Court, objector cannot get the property registered due to aforesaid technicalities. As such, the Court is of the considered opinion that the IA deserves to be allowed. Accordingly, I answer **Point No.1** in the **Affirmative**.

14. **POINT NO.2** : In view of the above discussions, I proceed to pass the following : -

ORDER

I.A. No.7 filed by the obstructor /
applicant under Order 1 Rule 10(2) CPC is
allowed.

*Dictated to Senior Sheristedar (now under instructions to
continue the work as Stenographer Grade I) directly on computer,
computerized by him, revised, corrected by me and then pronounced
in the open Court on this the **17th day of October 2025.***

(B.P. DEVAMANE)
I Addl. City Civil And
Sessions Judge (CCH-02),
Bengaluru City.